CAPITAL ADEQUACY

AND RISK MANAGEMENT REPORT

(BASEL PILLAR-3 DISCLOSURES)

FOR THE YEAR ENDED 31 DECEMBER 2020

1. Introduction

This document presents the Pillar 3 disclosures of FAB ("the Group") on a consolidated basis as at 31 December 2020. The purpose of Pillar 3 disclosures is to allow market participants to assess key pieces of information on the firm's capital, risk exposures and risk assessment process.

The Group is regulated by the Central Bank of UAE (CBUAE) and follows the Pillar 3 disclosure requirements as stated under the CBUAE guidelines, issued in November 2009, on the implementation of Basel II accord. CBUAE also initiated Basel III regulatory reporting in 2017 with new capital standards for UAE Banks.

The Pillar 3 disclosures are to be read in conjunction with the Audited Financial Statements as of 31 December 2020.

2. Regulatory Framework

The Group assesses its capital adequacy based on the regulations published in Feb 2017 by the CBUAE vide notice 60/2017. The framework is structured around the following three Pillars:

- Pillar 1 on minimum capital requirements for credit, market and operational risk
- Pillar 2 on the supervisory review process and the Internal Capital Adequacy Assessment Process (ICAAP)
- Pillar 3 on market discipline

2.1 Pillar 1 – Minimum Capital Requirement

Pillar 1 defines the total minimum capital requirements for credit, market and operational risk. FAB currently uses standardised approach for assessment of Credit, Market and Operational Risk weighted assets (RWA). Under the standardised approach, regulatory prescribed risk weights and parameters are applied to calculate Pillar 1 capital requirements.

During 2011, Basel Committee on Banking Supervision (BCBS) officially announced the final set of revised regulatory capital rules known as "Basel III", which are being phased in globally. Subsequent to Basel III consultation paper issued by CBUAE In 2016, new capital adequacy regulations were issued by CBUAE on 02 March 2017. The new capital regulations became effective from 1st February 2017

CBUAE has put in regulatory thresholds for Common Equity Tier 1, Tier 1 and overall regulatory Capital.

1. CET1 must be at least 7.0% of risk weighted assets (RWA);
2. Tier 1 Capital must be at least 8.5% of RWA;
3. Total Capital, calculated as the sum of Tier 1 Capital and Tier 2 Capital, must be at least 10.5% of RWA.

On top of this minimum capital requirement CBUAE has also mandated the Banks to keep additional buffers.

1. In addition to the minimum CET1 capital of 7.0% of RWA, banks must maintain a capital conservation buffer (CCB) of 2.5% of RWAs in the form of CET1 capital

2. To achieve the broader macro-prudential goal of protecting the banking sector from periods of excess aggregate credit growth and in addition to the CCB requirements, banks may be required to implement the countercyclical buffer (CCyB). Banks must meet the CCyB requirements by using CET1 capital. The level of the CCyB requirements will vary between 0% - 2.5% of RWA and be communicated by the Central Bank with an adequate notice period.

3. Banks classified as domestically systemically important banks will be required to hold additional capital buffers the level for which may vary as per the size of the Bank and would be decided by CBUAE. The requirement for FAB for D-SIB buffer is 1.5% of RWA in the form of CET1.

These requirements are summarised in the table below:

Capital Element	Requirement
Minimum Common Equity Tier 1 Ratio	7.0%
Minimum Tier 1 Capital Ratio	8.5%
Minimum Capital Adequacy Ratio	10.5%
Capital Conservation Buffer	2.5%
Domestic Systemically Important Banks Buffer (FAB)	1.5%
Countercyclical buffer (0% - 2.5%)	0%

Further, as part of the TESS relief provided by the UAE Central Bank in response to COVID-19, the Bank is able to fully utilise its 1.50 % D-SIB buffer and 60% of its capital conservation buffer without supervisory consequences until 31 December 2021.

CBUAE has also released revised Capital standards for Basel III capital instruments. Capital instruments that no longer qualify as non-common equity Tier 1 or Tier 2 capital will be phased out over 10 years starting from January 2018.

The capital ratios for the Group as of 31 Dec 2020 are given below:

Common Equity Tier 1 Ratio	13.26%
Tier 1 Capital Ratio	15.39%
Capital Adequacy Ratio	16.54%

All of these are well above the CBUAE minimum.

a) Credit Risk

The Group uses the standardised approach to calculate RWA for credit risk. It uses risk weights to convert exposures into RWA as per the CBUAE guidelines for Basel II which can range between 0% for certain sovereign exposures to 952% for certain categories (akin to deduction). Where applicable, mainly for unfunded, exposures are adjusted for credit conversion factor (CCF) in accordance with the CBUAE guidelines.

Credit Risk Capital = Net Exposure x CCF x Risk Weight x capital requirement

For non-retail exposures the risk weights are driven by credit ratings published by external credit agencies approved by the CBUAE.

b) Market Risk

The Group uses the standardised approach to calculate RWA for market risk as per the CBUAE guidelines. In calculating RWA for market risk, the Group distinguishes between general and specific risk and between holdings in the trading book and holdings outside the trading book. The risk is quantified for positions for Interest rate risk, Foreign exchange risk, Equity investments risk, Commodities exposure risk and Options risk.

c) Operational Risk

The Group applies the standardised approach for calculating capital requirement for operational risk. The calculation is based on average operating income for the past 3 years and classification of the operating income into 8 Basel classification lines - Corporate Finance, Trading and Sales, Payment & Settlement, Commercial Banking, Agency Services, Retail Brokerage, Retail Banking and Asset Management. Capital requirement is calculated for each of the business lines as per their respective multipliers as per BIS which range from 12% to 18%. The RWA for operational risk are calculated by dividing the capital requirement by CBUAE capital requirement multiplier.

2.2 Pillar 2 – ICAAP and Supervisory Review Process

The Group performs annual ICAAP exercise with comprehensive risk assessment and stress testing and the results are submitted to the CBUAE for supervisory review process. Key highlights of the ICAAP are listed below.

- Define risk appetite of the Group
- Undertake projection of key financials, risk profile, and capital position
- Assess and quantify, where material, the risks not fully covered under Pillar 1 (e.g. concentration risk) or not covered under Pillar 1 (e.g. liquidity risk , IRRBB)
- Conduct a stress test to assess the robustness and vulnerability of Group's business model to a change in business environment

The ICAAP exercise is led by the Group Risk Management in coordination with Finance, Business and Strategy teams. This is independently reviewed by the Internal Audit team of the Bank.

2.3 Pillar 3 – Market Discipline

The Group, on an annual basis, discloses detailed qualitative and quantitative information on its risk management practice and capital adequacy in line with the CBUAE Pillar 3 guidelines.

2.4 Differences between Financial Statements and Basel II Reporting of Credit Risk Exposures

Credit risk exposures reported under Basel III differ in respect of the following vis-à-vis financial statements:

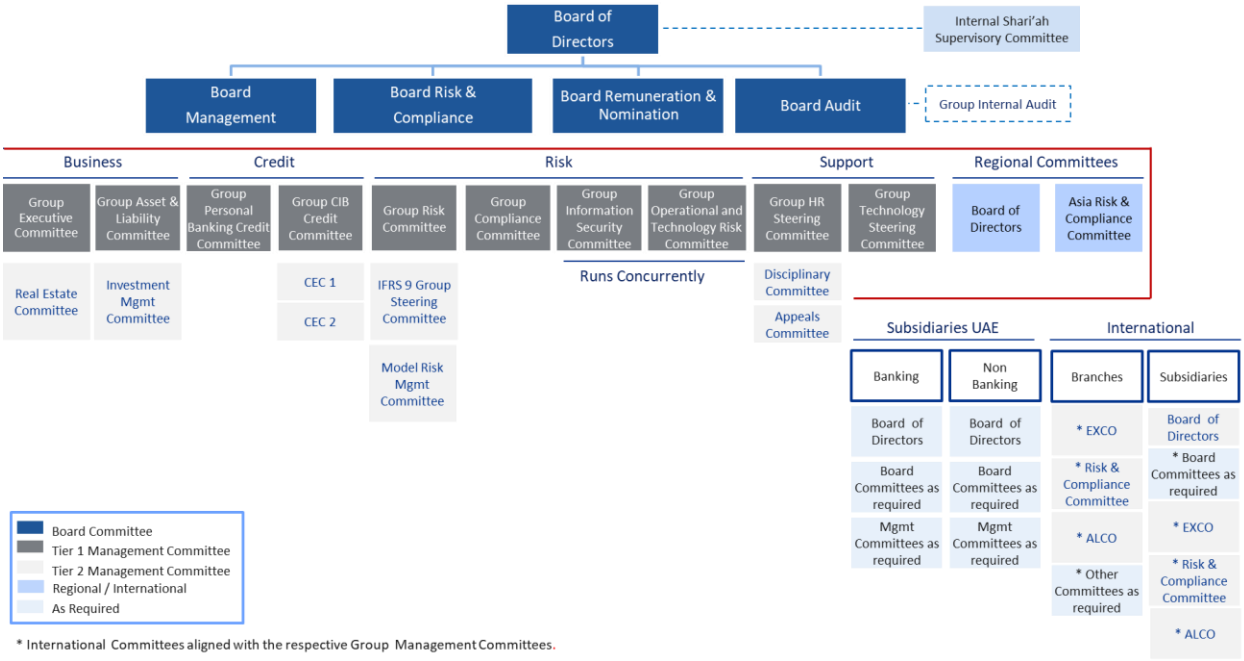
- As per CBUAE Basel framework, off balance sheet exposures are converted, by applying a credit conversion factor (CCF), into equivalent credit exposures
- Deferred Tax Assets, DVA, Intangible assets & Goodwill are deducted from Capital and not taken under credit risk assets
- Commercial subsidiaries are completely deconsolidated and only the investments at cost in those entities are taken for risk weight purposes; reserves and retained earnings in these companies and deducted from the group capital. Any intra group loans to such entities are treated as third party loans for risk weighting purposes
- Under the comprehensive credit risk mitigation approach under the standardised approach, eligible collaterals are considered subject to regulatory haircuts to estimate and report net exposure
- General provisions are not netted off against loans but used as Tier 2 capital up to 1.25% of Credit RWA

- Acceptances reported under other assets in financial statements are taken under off balance sheet exposures with 100% CCF for capital requirements calculations purpose.
- Positive Fair value of Derivatives reported as On Balance sheet in financial statements are reported along with Derivatives credit equivalent for capital requirements calculations purpose.
- Private equity exposures reported under FVTPL category for financial reporting are treated under banking book exposures for capital calculations purpose since they don't meet the Basel criteria for trading book exposures.

3. Group Risk Governance

The FAB Board is the principal decision-making forum for the Bank. Its responsibilities are set out in the Board Charter and include approving the strategy, annual budget and organisation structure; setting its risk appetite and risk management strategy; monitoring financial performance; establishing the corporate governance framework; and approving the company's corporate values. Setting the tone at the top is a critical part of the Board's role. Defining the values and, along with senior management, leading by example, are ways of ensuring that the organisation will Grow Stronger through a shared set of values that cascade throughout the organisation and is embodied in daily interactions between employees. This will facilitate the constant drive to enhance customer service across all business lines. The Board is also responsible for providing oversight and effective challenge to senior management across a range of matters including its execution of the agreed strategy and for Board and executive management succession planning.

The role of the CEO and the executive management team is to execute the agreed business strategy within the agreed risk appetite. It is also the responsibility of the executive team to develop a mechanism by which FAB's vision, values and behaviors are successfully shared, communicated and embedded in the business. Much of this is achieved through the work of the Executive Committee and other senior Management Committees. The executive management team is also responsible for timely and accurate reporting to the Board and Board Committees and for the escalation of appropriate information or items. The following exhibit is a diagrammatic representation of the Board and Committee Structure within FAB Group, including its international operations.



3.1 Board Committees

a) The Board Management Committee (BMC)

The BMC approves and oversees execution of the FAB Group's business plan per the strategy approved by the Board and oversees and reviews material aspects of the business of the FAB Group. The Committee meets quarterly or more frequently as deemed necessary. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

b) The Board Audit Committee (BAC)

The BAC ensures oversight of the effectiveness of the internal control systems and the quality and integrity of financial statements and financial reporting. In addition, it reviews, approves and oversees the internal and external audit programs and ensures coordination between internal and external auditors. The Group Chief Audit Officer ("GCAO") provides reports to the Committee on internal controls and the Head of Compliance reports direct to the BAC on compliance related matters such as fraud and whistleblowing. The Committee meets quarterly or more frequently as deemed necessary. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

c) The Board Remuneration and Nomination Committee (REMCO)

The REMCO recommends and oversees the appointment and termination of Group Board Directors and succession planning for the Group Executive Committee members. This includes an

assessment of the skills, knowledge and expertise needed to ensure they are positioned to discharge their responsibilities in the interests of the shareholders and FAB Group. The Committee also reviews and recommends to the Board FAB's reward policy framework, approves and oversees reward design and ensures it is appropriate and consistent with the FAB Group's culture, values, business performance and risk strategy. The Committee meets at least twice a year or more frequently as deemed necessary. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

d) The Board Risk and Compliance Committee (BRCC)

The BRCC provides oversight and advice to the Group Board in relation to current and potential future risk and compliance exposures of the FAB Group. It also considers and helps direct future risk strategy, including determination of risk appetite and tolerance as well as promote a risk and compliance awareness culture among the Group. The Committee meets quarterly or more frequently as deemed necessary. The bank's risk management function has a direct reporting line to the BRCC through the Group Chief Risk Officer. Compliance has a direct reporting line on compliance related matters through the Head of Compliance. The guiding principles and detailed roles & responsibilities are covered in the committee charter.

3.2 Management Committees

a) Group Executive Committee (Group EXCO)

The Group Executive Committee ("Group EXCO") is responsible for identifying matters required or appropriate for escalation to the Group Board or Board Committees. It is FAB Group's senior management level committee and it operates under a delegated authority from the FAB Board. The Group EXCO also supports the Group CEO to determine and implement the Bank's strategy as approved by the FAB Board.

The key responsibilities of the Committee include decisions on the Bank's strategy, annual budgets, capital management, risk management and FAB's more material policies and procedures. The Group EXCO may delegate certain authorities and powers to management committees and individuals, but the Group EXCO reserves the authority to deal with strategy, annual budget and structure; financial reporting and controls; capital management; risk and internal control; contracts; corporate governance matters; executive remuneration and human resources policies, and group policies generally; general meeting of shareholders and communication and any other matters in its discretion. The composition, guiding principles and detailed roles & responsibilities are covered in the Group EXCO Charter.

b) Group Risk Committee (GRC)

The Group Risk Committee (GRC) oversees the Group-wide risk strategy and exposures to enable integrated risk management in an effective manner. The primary objective of GRC is to define,

develop and periodically monitors the Group's risk appetite along with its related methodology, parameters, targets and tolerances taking into account the Bank's strategy and business planning. GRC reports relevant matters to the EXCO and BRCC as appropriate, advising and informing them on the Group's risk appetite and framework. The composition, guiding principles and detailed roles & responsibilities are covered in the GRC Charter.

c) Group Compliance Committee (GCC)

The Group Compliance Committee (GCC) assists the BRCC in fulfilling its objective of overseeing the Bank's regulatory responsibilities as well as ensuring the Bank's compliance with the applicable laws and regulations issued by various regulatory authorities across the Group. The Committee also oversees that the relevant policies and procedures, including, but not limited to the Group Code of Ethics are complied with across the Group. The composition, guiding principles and detailed roles & responsibilities are covered in the GCC Charter

d) Corporate and Investment Banking Credit Committee (CIBCC)

The Corporate and Investment Banking Credit Committee (CIBCC) assists in the development and implementation of the Bank's Corporate & Investment Banking business credit and investment strategy and the related policies and procedures. It oversees the credit and lending strategies and objectives of the FAB Group. The composition, guiding principles and detailed roles & responsibilities are covered in the CIBCC Charter.

e) Personal Banking Credit Committee (PBCC)

The Personal Banking Credit Committee ensure a holistic overview of the business strategies across the personal banking businesses of the FAB Group. Its purpose is to oversee the credit and lending strategies and objectives of the FAB Group. The composition, guiding principles and detailed roles & responsibilities are covered in the PBCC Charter.

f) Group Asset & Liability Committee (G-ALCO)

The G-ALCO is the driving force and key decision maker behind the structure and quality of the balance sheet. It is directly accountable to the BRCC for ensuring that the risks within the Group's asset and liability position are prudently managed. The composition, guiding principles and detailed roles & responsibilities are covered in the GALCO Charter.

g) HR Steering Committee (HRSC)

The HR Steering Committee assists the Group EXCO and the REMCO to implement strategic and operational HR initiatives to deliver the Group's long-term shareholder value. The Committee will be the formal sponsor of all material HR initiatives across the Bank in line with the Bank's

Employee Value Proposition ("EVP"). The composition, guiding principles and detailed roles & responsibilities are covered in the HRSC charter.

h) Group Technology Steering Committee (GTSC)

The Group Technology Steering Committee assists in fulfilling EXCO's corporate governance and oversight responsibilities of all technology and information systems across the FAB Group and supports the work of the BRCC in its oversight of the Group IT governance framework. The GTSC ensures alignment of business strategies with technology priorities and acts to protect and enhance the shareholders' investment in technology. The composition, guiding principles and detailed roles and responsibilities are covered in the GTSC charter.

i) Group Operational & Technology Risk Committee (GORC)

The Group Operational & Technology Risk Committee assists BRCC in fulfilling its objective of overseeing the consolidative Bank's operational, fraud & technology risk management. The composition, guiding principles and detailed roles & responsibilities are covered in the GORC charter.

j) Information Security Committee (ISC)

The Informational Security Committee assists the BRCC in overseeing, reviewing and taking decisions on the implementation of FAB's security controls and business continuity framework to ensure that information assets of the Bank are adequately protected and to ensure prevention and recovery from potential natural / man-made threats. It also serves as an independent and objective governance forum which ensures the adequacy and effectiveness of the Bank's information security framework. The composition, guiding principles and detailed roles & responsibilities are covered in the ISC charter.

3.3 Group Risk Management

FAB has a centralised risk management function – Group Risk Management which is led by the GCRO. The function comprises of Enterprise Risk Management Unit, Credit Risk Management Unit, Environmental, Social and Governance (ESG) Unit, Operational Risk Management Unit, Fraud Risk Management Unit, Enterprise Risk Solutions, Market & Liquidity Risk Management Unit, Information Security & Business Continuity Management and Corporate Governance. It is the nerve center for collection of data, analysis of risk drivers, interpretation of outcome and its wide dissemination to relevant committees for risk management. Following diagram provides Group Risk Organisation Structure at FAB.



4. Risk Appetite

Risk Appetite of a bank is the single most important factor in determination of risk tolerance and setting risk target and risk limits across various dimensions and risk types. It reflects an organisation's risk management philosophy and in turn influences its culture and operating style. Risk Appetite, if properly articulated, understood and implemented proves to be the cornerstone of an organisation's ERM framework. The risk appetite framework for FAB has been developed using the top down approach.

The entire risk appetite framework has been designed & implemented through three tiered mechanism. This methodology has been approved by the Group Risk Committee (GRC) and the Board Risk and Compliance Committee (BRCC). As per this methodology FAB has adopted a three-tiered structure for the Risk Appetite Framework. The brief description of the three-tiered structure is given hereunder:

1. **Tier 1 – Group level:** This level pertains to the risk appetite at the FAB level which includes business groups, support groups and material subsidiaries. A comprehensive set of risk & performance metrics have been provided; these have been classified as primary metrics, and monitoring metrics. In addition, there are some qualitative and zero tolerance metrics articulated at FAB level.
2. **Tier 2 – Business and Support groups:** The group level risk appetite is cascaded down to the individual business groups (Corporate & Investment Banking, Personal Banking Group, Group Treasury), support groups (GCOO Group, IT and Information Security, Group HR (GHR) and legal). Support functions will be incorporated at later stage.

3. **Tier 2.5 – Business Sub unit:** Risk appetite is further cascaded down one level (referred to as Tier 2.5) to International Locations, business sub units or sub segments. For example, in the context of PBG, Tier 2.5 encapsulates the different revenue segments and products. Cascading down to Tier 2.5 is done for the purpose of monitoring and managing risks at a more granular level and better performance assessment within business units.

International Locations are not cascaded down to the individual business group, business sub-units or sub segments.

4. **Tier 3 – Embedding and implementation of risk appetite:** In order to implement the RAF, the above-mentioned risk appetite metrics are going to be embedded in respective policies and procedures, KPIs and balance scorecards and reporting which is referred to as Tier 3 of the RAF of FAB Group. This is extremely important to ensure that the risk appetite is implemented by the business units as a "first line of defense" in the overall risk governance framework of the Group. The implementation of Risk Appetite would be manifested in the Target Market ("TM") and Risk Acceptance Criteria ("RAC"), which are central to the portfolio planning activity at the Group.

Specific dimensions that are considered to implement the target risk taking approach include Capital Adequacy, Financial Performance and Efficiency, Liquidity and Funding, Credit asset quality, Risk Concentration, Risk assessment, Operational Efficiency, Market risk exposures, information security and human resources. Specific tolerances are defined as targets and actual vs. target levels are monitored on a periodic basis. The target levels are reflective of the prudent risk management practices, regulatory requirements and market realities in different jurisdictions in which FAB is operating.

5. Capital Management

The Group is governed by CBUAE guidelines on regulatory capital requirements on a consolidated basis, including all its subsidiaries and overseas branches. In addition to capital management at Group level, the overseas branches and subsidiaries are also supervised by their local regulators for operations carried out by those specific entities.

Basel-II Pillar-3 Reports

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4(b)	Gross Credit Exposure by Currency
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4(d)	Gross Credit Exposure by Industry Segment
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10	Interest Rate Risk in the Banking Book

1. Information on Subsidiaries & Significant investments

	Country of Incorporation	% Ownership	Description	Accounting Treatment
Subsidiaries				
First Abu Dhabi Bank USA N.V.	Curacao	100%	Banking	Full Consolidation
FAB Securities LLC	United Arab Emirates	100%	Brokerage	Full Consolidation
Abu Dhabi National Leasing LLC	United Arab Emirates	100%	Leasing	Full Consolidation
Abu Dhabi National Properties Pvt. JSC	United Arab Emirates	100%	Property Management	Full Consolidation
FAB Private Bank (Suisse) SA	Switzerland	100%	Banking	Full Consolidation
First Abu Dhabi Islamic Finance PJSC	United Arab Emirates	100%	Islamic Finance	Full Consolidation
Abu Dhabi Securities Brokerage Egypt	Egypt	96%	Brokerage	Full Consolidation
National Bank of Abu Dhabi Malaysia Berhad	Malaysia	100%	Banking	Full Consolidation
NBAD Employee Share Options Limited	United Arab Emirates	100%	Shares and Securities	Full Consolidation
SAS 10 Magellan	France	100%	Leasing	Full Consolidation
National Bank of Abu Dhabi Representações Ltda	Brazil	100%	Representative office	Full Consolidation
FAB Global Markets (Cayman) Limited	Cayman Islands	100%	Financial Institution	Full Consolidation
Nawat Management Services - One Man Company LLC	United Arab Emirates	100%	Services	Full Consolidation
Mismak Properties Co. LLC (Mismak)	United Arab Emirates	100%	Real estate investments	Full Consolidation
Moora Properties Co. LLC (Subsidiary of Mismak)	United Arab Emirates	67%	Real estate investments	Full Consolidation
First Merchant International LLC (FMI)	United Arab Emirates	100%	Real estate investments	Full Consolidation
FAB Employment Services LLC (Subsidiary of FMI)	United Arab Emirates	100%	Resourcing services	Full Consolidation
FAB Resourcing Services LLC (Subsidiary of FMI)	United Arab Emirates	100%	Resourcing services	Full Consolidation
FAB Sukuk Company Limited	Cayman Islands	100%	Special purpose vehicle	Full Consolidation
First Gulf Libyan Bank	Libya	50%	Banking services	Full Consolidation
FGB Global Markets Cayman Limited	Cayman Islands	100%	Financial Institution	Full Consolidation
FAB Properties LLC	United Arab Emirates	100%	Management and brokerage of real estate properties	Full Consolidation
Aseel Finance PJSC	United Arab Emirates	100%	Islamic finance	Full Consolidation
Dubai First PJSC	United Arab Emirates	100%	Credit card finance	Full Consolidation
First Gulf Information Technology LLC (FGIT)	United Arab Emirates	100%	IT Services	Full Consolidation
FAB Investment KSA (single Shareholder LLC)	Kingdom of Saudi Arabia	100%	Financial Institution	Full Consolidation
FAB Global Business Services Limited (Subsidiary of FGIT)	India	100%	IT Services	Full Consolidation
Significant Investments				
Midmak Properties LLC	United Arab Emirates	16%	Real Estate Management / Investments	Equity
Mercury Payments Services LLC	United Arab Emirates	30%	Investments and Payment Service Schemes	Equity
Emirates Digital Wallet LLC	United Arab Emirates	23%	Financial Institution	Equity

CONSOLIDATED CAPITAL STRUCTURE UNDER BASEL III AS ON 31st Dec 2020

TABLE 2
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Details

Capital Base	Summary Note and References	Amount
1. Common Equity Tier 1 (CET1) Capital		
1.1 Share Capital	Note 21 of Financial statements	10,920,000
1.2 Share premium account	Consolidated statement of changes in equity	53,538,584
1.3 Eligible Reserves	Group Reserves less reserves for deconsolidated commercial subsidiaries*	11,546,005
1.4 Retained Earnings / (-) Loss	Group Retained Earnings less proposed dividend and less retained earnings for deconsolidated commercial subsidiaries* Prudential filter - Partial ECL addback	 11,807,985
1.5 Eligible amount of minority interest	Eligible minority interest amount**	290,996
1.6 Capital shortfall if any		-
CET1 capital Before the regulatory adjustments and threshold deduction		**88,103,570**
1.7 Less: Regulatory deductions	Goodwill, intangible assets, Treasury shares, DVA & DTA	21,095,250
1.8 Less: Threshold deductions		-
Total CET1 capital after the regulatory adjustments and threshold deduction		**67,008,320**
2. Additional Tier 1 (AT1) Capital		
2.1 Eligible AT1 capital (After grandfathering)	Note 22 of Financial statements	10,754,750
2.2 Other AT1 Capital e.g. (Share premium, minority interest)		
Total AT1 capital		**10,754,750**
3. Tier 2 (T2) Capital		
3.1 Tier 2 Instruments e.g. subordinated loan (After grandfathering and/or amortization)	Note 19 of Financial statements (60% grandfathering)	282,483
3.2 Other Tier 2 capital (including General Provisions, etc.) 1	Note 21 (iv) - Capped at 1.25% of CRWA	5,514,812
Total T2 Capital		**5,797,295**
Total Regulatory Capital		**83,560,365**

* Commercial subsidiaries - FMI, ADNP, Mismak, FGP are deconsolidated for regulatory capital calculation purpose

** Minority interest is taken only upto the regulatory capital adequacy requirements, remaining amount is deducted from Group capital

CAPITAL ADEQUACY as on 31st Dec 2020

TABLE 3

a) Quantitative Disclosures			
Capital Requirement			
	RWA	**Capital Charge**	**Capital Ratio%**
1. Credit Risk - Standardized Approach	**441,184,990**	**63,971,824**	
2. Market Risk - Standardized Approach	**28,419,038**	**4,120,761**	
3. Operation Risk	**35,735,719**	**5,181,679**	
a. Basic Indicator Approach			
b. Standardised Approach/ASA	35,735,719	5,181,679	
c. Advanced Measurement Approach			
Total Capital requirements	**505,339,747**	**73,274,263**	
Capital Ratio			
a. CET1 ratio only for top consolidated Group			13.26%
b. Tier 1 ratio only for top consolidated			15.39%
c. Total for Top consolidated Group			16.54%

* Base capital requirement as per CBUAE guidelines is 7% for CET1, 8.5% for Tier 1 and 10.5% for total capital adequacy ratio
In addition CBUAE mandates a requirement of 2.5% of capital conservation buffer and 1.5% of D-SIB buffer (for FAB) to be fulfilled with CET1
Further, as part of the TESS relief provided by the UAE Central Bank in response to COVID-19, the Bank is able to fully utilise its 1.50 % D-SIB buffer and 60% of its capital conservation buffer without supervisory consequences until 31 December 2021.

4(a). Qualitative Disclosures - Risk Management

Definition of past due and impaired (for accounting purposes)

The Group considers a financial asset to be in default when:
- The borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held);
- For retail, a facility or any material credit obligation to the Group is more than 90 days past due;

The Bank follows the UAE Central Bank circular 28/2010 on regulations regarding classification of loans and their provisions for the definition of "impaired loans" .

Description of approaches followed for specific and general allowances and statistical methods

Specific

Under IFRS9, equivalent of CBUAE Specific Provision is Stage 3 ECL, which is the allowance that captures the lifetime expected credit losses for impaired assets. The Bank reviews its impaired assets on a regular basis to assess the amount of Stage 3 ECL required to be recorded in the consolidated income statement. As per the CBUAE notice no. CBUAE/BSD/2018/458 dated 30 April 2018, clause 6.4, if the CBUAE specific provision and general/collective provision cumulatively is higher than the impairment allowance computed under IFRS 9, the differential should be transferred to an “Impairment Reserve” as an appropriation from the Retained earnings. This Impairment Reserve should be split to that which relates to difference in specific provision and general/collective provision.

To assess the amount of specific provision required for Stage 3 assets the Bank follows UAE Central Bank circular 28/2010 wherein specific provisions are taken for 'Substandard', 'Doubtful' and 'Loss' grades as per the circular

General

Under IFRS9, equivalent of CBUAE General Provision is Stage 1 and Stage 2 ECL, which is measured based on the extent of credit deterioration since origination as described below: - Stage 1 – Where there has not been a significant increase in credit risk (SICR) since initial recognition of a financial instrument, an amount equal to 12 months expected credit loss is recorded. The expected credit loss is computed using a probability of default occurring over the next 12 months. For those instruments with a remaining maturity of less than 12 months, a probability of default corresponding to remaining term to maturity is used. - Stage 2 – When a financial instrument experiences a SICR subsequent to origination but is not considered to be impaired, i.e. Stage 3, it is included in Stage 2. This requires the computation of expected credit loss based on the probability of default over the remaining estimated life of the financial instrument.

As per the CBUAE notice no. CBUAE/BSD/2018/458 dated 30 April 2018, the Bank compares the IFRS9 ECL for Stage 1 and Stage 2 with the CBUAE General Provision requirement which is calculated as per the UAE Central Bank circular 28/2010 based on the total Credit Risk Weighted Assets (CRWA) and accordingly create an Impairment Reserve.

Discussion of Bank’s credit risk management policy

Credit risk identification and assessment at FAB Group is carried out through a comprehensive mechanism comprising three levels of defense. The first level of defense lies with the business units and is responsible for maintaining a sound credit quality of assets in line with the approved business strategy and credit risk appetite. The second level of defense is with the Group Credit Unit that assesses the risk on a customer & facility level and ensures proper documentation of customer, facility and security documents along with Group Risk management unit that assesses credit risk on a portfolio basis and maintains credit risk policies and credit risk rating models up to date. Internal Audit acts as a third level of defense with regular reviews of credit analysis and the risk functions to check the compliance with policies and procedures of the Group. The unit also reviews the policy documents on a regular basis. For further details on the Bank's risk management framework please refer to Note 5 in the consolidated financial statements

Partial adoption of Foundation IRB / Advanced IRB

Approach	Description of exposures	Plans and timing of migration to implement fully higher approach
Standardized Approach	As per Basel II / Basel III categorization	FAB is currently on Standardized approach.
Foundation IRB	Planned ss per Basel categorization	In addition to the RWA calculations as per the Standardized approach of Basel, the Bank also has internal rating models which have been harmonized from the internal rating models of the legacy Banks. These credit risk models cover across its Corporate & Investment Banking (CIB) and Personal Banking & Wealth (PBW) portfolios. As part of Model Risk Management (MRM) Policy, The Bank also has the annual model validation process in place. This includes qualitative and quantitate validation of models. In the CIB portfolio, the Bank has harmonized ORR / PD models covering industry specific Corporate models, Specialized Lending, FI model and High Networth Individual. Corporate rating models have been redeveloped and validated. Validation is planned for Specialized Lending, FI model and High Networth Individual models. Detailed documentation pertaining to model development, validation, user-testing and governance is being collected to aid the IRB application process. In the PBW portfolio, the Bank is redeveloping the product specific scorecard and rating models; these include scorecards for Credit cards, Personal Loans, Auto Loans, Residential Mortgage and rating models for SME Loans. PBW models were redeveloped and have been independently validated as per MRM Policy
Advanced IRB	Planned as per Basel categorization	The Banks is using generic models for LGD and EAD for the lending portfolios. These models would be redeveloped for FAB and validated and use tested before the Bank shifts to AIRB.

4(b). Gross Credit Exposure by Currency

All numbers in AED 000s

Currency	Loans	Debt Securities	Other Exposures	Total Funded	Commitments		OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk Exposure	without ccf	with ccf		
Foreign Currency	213,383,821	-	260,452,635	473,836,457	30,044,063	8,157,899	2,379,443,428	31,424,577	53,170,697	115,195,659	52,352,428	113,681,024	587,517,481
AED	189,904,925	150,355,833	52,936,442	393,197,200	44,538,278	8,929,208	69,021,560	1,134,304	1,903,433	51,557,217	22,906,746	33,739,387	426,936,587
Provisions & IIS	(16,644,750)	-	-	(16,644,750)			-	-	-			-	(16,644,750)
Total	**386,643,996**	**150,355,833**	**313,389,077**	**850,388,906**	**74,582,341**	**17,087,107**	**2,448,464,988**	**32,558,881**	**55,074,130**	**166,752,876**	**75,259,174**	**147,420,411**	**997,809,317**

4(c). Gross Credit Exposure by Geographical Distribution

All numbers in AED 000s

Geographical Region	Loans	Debt Securities	Other Exposures	Total Funded	Commitments		OTC Derivatives			Other Off Balance Sheet Exposures		Total Non Funded (Credit Risk Exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
United Arab Emirates	253,842,661	42,642,814	57,806,013	354,291,488	59,937,746	12,018,284	242,332,969	5,929,823	10,128,056	114,852,725	49,153,805	71,300,145	425,591,634
GCC excluding UAE	30,160,638	24,289,937	26,303,327	80,753,902	2,882,658	787,450	104,464,829	3,456,589	4,572,348	5,958,937	2,957,271	8,317,069	89,070,971
Arab League (excluding GCC)	7,879,052	7,277,479	14,177,910	29,334,440	442,694	125,575	10,492,118	213,335	303,348	3,371,348	1,805,761	2,234,684	31,569,124
Asia	18,874,483	27,168,971	5,656,582	51,700,036	1,455,644	381,117	89,229,809	2,515,722	3,788,325	9,778,195	4,668,795	8,838,236	60,538,272
Africa	2,972,247	2,250,790	336,187	5,559,225	837,444	418,722	6,031,562	238,002	342,220	763,134	379,585	1,140,527	6,699,751
North America	9,379,157	15,304,103	67,133,891	91,817,152	1,972,495	587,038	7,024,312	77,196	123,974	11,570,554	5,934,758	6,645,770	98,462,921
South America	10,603,723	205,248	273,273	11,082,245			7,972,109	234,801	325,198	233,115	148,285	473,483	11,555,728
Caribbean	-	-	150,956	150,956	561,178	112,236	-	-	-			112,236	263,192
Europe	67,670,110	30,032,580	141,419,073	239,121,764	6,120,020	2,580,645	1,974,209,343	19,678,895	35,167,681	19,713,720	9,968,066	47,716,393	286,838,156
Australia	-	1,183,910	78,624	1,262,534			6,707,937	214,517	322,980			322,980	1,585,513
Others	1,906,674	-	53,241	1,959,915	372,462	76,041	-	-	-	511,149	242,848	318,889	2,278,804
Provisions & IIS	(16,644,750)	-	-	(16,644,750)			-	-	-			-	(16,644,750)
Total	**386,643,996**	**150,355,833**	**313,389,077**	**850,388,906**	**74,582,341**	**17,087,107**	**2,448,464,988**	**32,558,881**	**55,074,130**	**166,752,876**	**75,259,174**	**147,420,411**	**997,809,317**

4(d). Gross Credit Exposure by Industry Segment

All numbers in AED 000s

Industry Segment	Loans	Debt Securities	Other exposures	Total Funded	Commitments		OTC Derivatives			Other Off Balance Sheet exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
Agriculture, Fishing & Related activities	727,782	-	139,250	867,032	-	-	-	-	-	177,041	66,817	66,817	933,849
Crude Oil, Gas, Mining & Quarrying	29,544,989	9,682,140	919,736	40,146,865	12,531,188	2,507,786	8,904,090	381,682	465,723	6,272,679	3,157,666	6,131,175	46,278,040
Manufacturing	21,952,423	1,214,887	1,179,497	24,346,806	4,126,708	1,695,110	21,671,269	1,620,867	2,204,510	19,116,135	9,487,471	13,387,092	37,733,898
Electricity & Water	10,161,137	3,477,556	47,480	13,686,173	2,553,254	510,651	17,606,911	1,672,158	1,860,713	4,760,621	3,586,933	5,958,297	19,644,470
Real Estate & Construction	99,628,872	1,944,482	1,075,346	102,648,700	9,339,430	2,346,281	24,815,197	410,711	666,909	39,894,028	19,991,494	23,004,684	125,653,385
Trade	22,435,927	111,707	1,652,701	24,200,335	1,919,410	546,877	5,930,187	171,684	270,319	14,673,040	6,373,245	7,190,441	31,390,777
Transport, Storage & Communication	37,845,095	5,499,946	172,891	43,517,932	1,853,348	575,362	24,542,194	976,737	1,596,057	4,863,006	3,247,149	5,418,568	48,936,500
Financial Services	48,260,321	45,909,922	76,319,937	170,490,180	8,483,138	1,796,400	2,298,179,372	26,863,611	47,373,608	21,507,942	13,036,765	62,206,773	232,696,953
Other Services	20,187,687	35,658	571,084	20,794,429	3,755,836	1,100,688	45,842,211	452,315	622,929	14,046,237	7,792,393	9,516,009	30,310,438
Government (including public sector)	38,889,069	82,479,534	228,991,241	350,359,844	30,000,000	6,000,000	953,935	9,071	13,271	41,157,729	8,344,247	14,357,518	364,717,362
Retail / Consumer Banking	73,655,445	-	841,836	74,497,281	20,030	7,952	19,623	45	91	206,742	161,619	169,661	74,666,943
All Others	-	-	1,478,077	1,478,077	-	-	-	-	-	77,677	13,376	13,376	1,491,452
Provisions & IIS	(16,644,750)	-	-	(16,644,750)	-	-	-	-	-			-	(16,644,750)
Total	**386,643,996**	**150,355,833**	**313,389,077**	**850,388,906**	**74,582,341**	**17,087,107**	**2,448,464,988**	**32,558,881**	**55,074,130**	**166,752,876**	**75,259,174**	**147,420,411**	**997,809,317**

4(e). Gross Credit Exposure by Residual Contract Maturity

All numbers in AED 000s

Residual Maturity	Loans	Debt Securities	Other exposures	Total Funded	Commitments		OTCDerivatives			Other Off Balance Sheet Exposures		Total Non Funded (Credit Risk exposure)	Total
					without ccf	with ccf	Notional Amount	Positive Fair Value	Credit Risk exposure	without ccf	with ccf		
Less than 3 months	84,642,731	22,791,570	288,111,675	395,545,976	35,615,793	7,325,608	554,576,986	2,353,427	4,934,011	74,801,994	35,818,239	48,077,858	**443,623,833**
3 months to one year	57,178,448	18,134,288	25,275,391	100,588,127	34,905,831	7,731,141	632,490,509	2,650,672	4,222,407	26,546,608	14,334,655	26,288,202	**126,876,329**
One to five years	160,529,630	53,818,259	2,011	214,349,900	3,967,301	1,983,650	834,207,908	12,669,977	23,269,946	38,230,615	14,364,119	39,617,715	**253,967,616**
Over five years	100,937,937	55,611,716	-	156,549,653	93,416	46,708	427,189,585	14,884,805	22,647,767	27,173,659	10,742,161	33,436,636	**189,986,289**
Provisions & IIS	(16,644,750)	-	-	(16,644,750)	-	-	-	-	-			-	**(16,644,750)**
Grand Total	**386,643,996**	**150,355,833**	**313,389,077**	**850,388,906**	**74,582,341**	**17,087,107**	**2,448,464,988**	**32,558,881**	**55,074,130**	**166,752,876**	**75,259,174**	**147,420,411**	**997,809,317**

4(f). Impaired Loans by Industry Segment

All numbers in AED 000s

Industry Segment	Overdue / Impaired Assets			ECL			Adjustments	
	Overdue	Stage 3	Total Funded	IIS	Stage 3	Stage 1 & 2	Writeoffs	Write Backs
Agriculture, Fishing & Related activities	5,550	2,567	8,117	571	1,339	3,972	38	-
Crude Oil, Gas, Mining & Quarrying			-					-
Manufacturing	239,482	1,047,582	1,287,065	118,557	529,375	163,133	90,825	-
Electricity & Water	162,245	399,332	561,578	65,869	262,670	559,545	2,825	-
Real Estate & Construction	1,749,465	8,585,324	10,334,788	2,318,206	1,981,580	2,276,000	16,521	-
Trade	1,180,528	2,693,108	3,873,636	333,253	1,370,387	267,088	41,531	-
Transport, Storage & Communication	5,229	177,160	182,390	38,558	87,724	72,836	45,185	-
Financial Services	196,791	379,305	576,095	40,784	175,566	216,590	4,035	-
Other Services	142,154	609,106	751,259	120,281	309,001	233,128	41,709	-
Government (including Public Sector)		7,618	7,618	10	7,442	22,649	-	-
Retail / Consumer Banking	2,861,486	6,150,288	9,011,774	1,170,246	1,964,886	1,933,506	1,076,797	-
All Others			-					-
Total	6,542,930	20,051,390	26,594,320	4,206,335	6,689,969	5,748,446	1,319,465	-

To mitigate credit risk emanated from impaired loans Bank hold various type of collateral in the form of lien over deposits, cash margins, equities, bank guarantees, machinery & equipment, mortgaged properties, motor vehiclles, shipping vessels, aircrafts, etc. As of year end 2020, 63% of net impaired loans (AED 10B) are covered by a collateral coverage of up to 50%. The remaining 37% (AED 5.8B) impaired loans have a collateral coverage of 51% and above.

4(g). Impaired Loans by Geographical Distribution

All numbers in AED 000s

Geographical Region	Overdue / Impaired Assets				ECL		Adjustments	
	Overdue	Stage 3	Total Funded	IIS	Stage 3	Stage 1 & 2	Writeoffs	Write Backs
United Arab Emirates	4,971,785	17,823,478	22,795,263	4,021,549	5,438,898	4,791,459	1,215,120	
GCC excluding UAE	167,790	1,113,637	1,281,427	133,615	672,542	142,710	31,612	
Arab League (excluding GCC)	212,584	175,368	387,952	5,119	81,818	182,686	3,301	
Asia	828,753	767,573	1,596,326	36,587	406,645	553,911	69,015	
Africa		377	377	6	1	24,382	-	
North America	1,016	4,879	5,895	681	366	9,238	416	
South America	849	-	849	-	-	1,592	-	
Caribbean	3,759	-	3,759	-	-	0	-	
Europe	356,394	166,077	522,471	8,778	89,698	41,408	-	
Australia		-	-	-	-	1,059	-	-
Total	6,542,930	20,051,390	26,594,320	4,206,335	6,689,969	5,748,446	1,319,465	-

4(h). Reconciliation of changes in Provisions for Impaired Loans

All numbers in AED 000s

	Description	
	Opening Balance of Provisions for Impaired Loans	11,028,143
Add:	Charge for the year	
	• Corporate, Retail Specific provisions	1,861,366
	• Corporate, Retail and International Division General provisions	767,790
	• Impact of Accounting Policy alignment	
Less:	Write-off of provisions for impaired loans	-1,218,884
Less:	Recovery of loan loss provisions	
Less:	Recovery of loans previously written-off	
Less:	Notional Interest on Impaired Loans & Advances	
Less:	Write-back of provisions for loans	
	Adjustments of loan loss provisions (acquired in business combination)	
	Closing Balance of Provisions for Impaired Loans	12,438,416

4(i). Basel Portfolio as per Standardized Approach

All numbers in AED 000s

ASSET CLASSES	ON BALANCE SHEET			OFF BALANCE SHEET		CREDIT RISK MITIGATION (CRM)			
See Basel II, June 2006, Para 50 to 81, and Central Bank National Discretions	GROSS OUTSTANDING	Interest in Suspense and Specific Provisions	NET OUTSTANDING	NET EXPOSURE AFTER CREDIT CONVERSION FACTORS (CCF)	EXPOSURE BEFORE CRM AFTER CCF*	CRM	EXPOSURE AFTER CRM AND CCF	Reduction in RWA through Guarantees held as CRM	RISK WEIGHTED ASSETS
CLAIMS ON SOVEREIGNS	342,304,181	0	342,304,181	14,529,239	356,833,420	377,442	356,455,978	-	17,249,867
CLAIMS ON NON-CENTRAL GOVERNMENT PUBLIC SECTOR ENTITIES (PSEs)	9,260,975	-	9,260,975	1,796,285	11,057,260	-	11,057,260	-	66,598
CLAIMS ON MULTI LATERAL DEVELOPMENT BANKS	1,192,762	-	1,192,762	13,272	1,206,034	-	1,206,034	-	693,033
CLAIMS ON BANKS	166,640,862	-	166,640,862	56,221,182	222,862,044	118,210,957	104,651,087	-	51,234,681
CLAIMS ON SECURITIES FIRMS	1,387,115	1,626	1,385,489	190,920	1,576,409	268,918	1,307,491	-	1,205,548
CLAIMS ON CORPORATES	218,527,105	598,497	217,928,607	78,042,457	295,971,064	15,732,479	280,238,585	11,016,231	223,253,739
CLAIMS INCLUDED IN THE REGULATORY RETAIL PORTFOLIO	49,403,640	548,807	48,854,833	498,946	49,353,779	2,107,744	47,246,035	162,438	39,613,252
CLAIMS SECURED BY RESIDENTIAL PROPERTY	17,031,448	6,513	17,024,935	-	17,024,935	322,112	16,702,823	-	10,513,933
CLAIMS SECURED BY COMMERCIAL REAL ESTATE	76,542,312	122,091	76,420,221	-	76,420,221	2,292,918	74,127,304	575,114	73,552,190
PAST DUE LOANS	19,311,246	9,759,388	9,551,858	-	9,551,858	487,494	9,064,364	-	10,958,982
HIGHER-RISK CATEGORIES	1,760,248	-	1,760,248	544,742	2,304,989	-	2,304,989	-	3,457,484
OTHER ASSETS	31,708,389	96	31,708,292	354,479	32,062,771	-	32,062,771	-	8,224,096
CLAIMS ON SECURITISED ASSETS	4,373,907	-	4,373,907	-	4,373,907	-	4,373,907	-	1,161,587
CREDIT DERIVATIVES (Banks Selling protection)	-	-	-	-	-	-	-	-	-
TOTAL CLAIMS	939,444,191	11,037,018	928,407,173	152,191,521	1,080,598,694	139,800,065	940,798,629	11,753,783	441,184,990

CRM includes collateral in the form of cash, equities and financial guarantees

5. Basel Portfolio as per Standardized Approach (Rated / Unrated)

All numbers in AED 000s

Asset Class	ON BALANCE SHEET				OFF BALANCE SHEET			EXPOSURE BEFORE CRM			CRM	EXPOSURE AFTER CRM			Reduction in RWA through Guarantees held as CRM	RWA		
	GROSS	NET			NET EXPOSURE AFTER CREDIT CONVERSION FACTORS (CCF)													
	Total	Rated	Unrated	Total	Rated	Unrated	Total	Rated	Unrated	Total	Total	Rated	Unrated	Total	Total	Rated	Unrated	Total
CLAIMS ON SOVEREIGNS	342,304,181	310,461,219	31,842,963	342,304,181	6,378,884	8,150,354	14,529,239	316,840,103	39,993,317.15	356,833,420	377,442	316,840,103	39,615,875	356,455,978	0	13,624,459	3,625,408	17,249,867
CLAIMS ON NON-CENTRAL GOVERNMENT PUBLIC SECTOR ENTITIES (PSEs)	9,260,975	826,228	8,434,747	9,260,975	163,986	1,632,300	1,796,285	990,214	10,067,047	11,057,260	0	990,214	10,067,047	11,057,260	0	0	66,598	66,598
CLAIMS ON MULTI LATERAL DEVELOPMENT BANKS	1,192,762	1,192,762	0	1,192,762	0	13,272	13,272	1,192,762	13,272	1,206,034	0	1,192,762	13,272	1,206,034	0	693,033	0	693,033
CLAIMS ON BANKS	166,640,862	144,165,327	22,475,536	166,640,862	50,943,545	5,277,637	56,221,182	195,108,872	27,753,173	222,862,044	118,210,957	76,897,915	27,753,173	104,651,087	0	45,369,614	5,865,067	51,234,681
CLAIMS ON SECURITIES FIRMS	1,387,115	0	1,385,489	1,385,489	101,943	88,977	190,920	101,943	1,474,466	1,576,409	268,918	101,943	1,205,548	1,307,491	0	882,864	322,684	1,205,548
CLAIMS ON CORPORATES	218,527,105	57,434,831	160,493,776	217,928,607	15,112,183	62,930,274	78,042,457	72,547,013	223,424,051	295,971,064	15,732,479	72,547,013	207,691,571	280,238,585	11,016,231	28,478,228	194,775,510	223,253,738
CLAIMS INCLUDED IN THE REGULATORY RETAIL PORTFOLIO	49,403,640	92,144	48,762,689	48,854,833	3,966	494,980	498,946	96,110	49,257,669	49,353,779	2,107,744	96,110	47,149,925	47,246,035	162,438	96,004	39,517,248	39,613,252
CLAIMS SECURED BY RESIDENTIAL PROPERTY	17,031,448	0	17,024,935	17,024,935	0	0	0	0	17,024,935	17,024,935	322,112	0	16,702,823	16,702,823	0	0	10,513,933	10,513,933
CLAIMS SECURED BY COMMERCIAL REAL ESTATE	76,542,312	817,461	75,602,760	76,420,221	0	0	0	817,461	75,602,760	76,420,221	2,292,918	817,461	73,309,843	74,127,304	575,114	817,461	72,734,729	73,552,190
PAST DUE LOANS	19,311,246	0	9,551,858	9,551,858	0	0	0	0	9,551,858	9,551,858	487,494	0	9,064,364	9,064,364	0	0	10,958,982	10,958,982
HIGHER-RISK CATEGORIES	1,760,248	437	1,759,811	1,760,248	0	544,742	544,742	437	2,304,553	2,304,989	0	437	2,304,553	2,304,989	0	655	3,456,829	3,457,484
OTHER ASSETS	31,708,389	22,000,543	9,707,749	31,708,292	0	354,479	354,479	22,000,543	10,062,228	32,062,771	0	22,000,543	10,062,228	32,062,771	0	116,919	8,107,178	8,224,096
CLAIMS ON SECURITISED ASSETS	4,373,907	4,373,907	0	4,373,907	0	0	0	4,373,907	0	4,373,907	0	4,373,907	0	4,373,907	0	1,161,587	0	1,161,587
CREDIT DERIVATIVES (Banks Selling protection)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Grand Total	**939,444,191**	**541,364,858**	**387,042,315**	**928,407,173**	**72,704,506**	**79,487,015**	**152,191,521**	**614,069,364**	**466,529,330**	**1,080,598,694**	**139,800,065**	**495,858,407**	**444,940,222**	**940,798,629**	**11,753,783**	**91,240,824**	**349,944,166**	**441,184,990**

6. Credit Risk Mitigation - Disclosures for Standardized Approach

All numbers in AED 000s

Quantitative Disclosures		Exposures	Risk Weighted Assets
	Gross Exposure prior to Credit Risk Mitigation	1,078,732,060	
Less:	Exposure covered by on-balance sheet netting	31,486,462	
Less:	Exposures covered by Eligible Financial Collateral	108,313,603	
Less:	Exposures covered by Guarantees	12,790,563	
Less:	Exposures covered by Credit Derivatives	-	
	Net Exposures after Credit Risk Mitigation	926,141,432	441,184,990

7. Counterparty Credit Risk Exposure

All numbers in AED 000s

Asset Class	FX and Gold			IRS			Equities			Precious Metal except Gold			Commodities			TRS			CDS		
	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure	Gross	MTM	Gross Credit Exposure
Claims on Sovereigns	19,737	1,574	21,311	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Claims on Public Sector Entities	-	-	-	56,118	547,945	604,063	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Claims on Multilateral development banks	4,200	9,071	13,272	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Claims on Banks	8,576,750	5,613,630	14,190,380	8,840,088	20,460,688	29,300,775	8,352	2	8,354	-	-	-	422,574	142,563	565,138	2,341	274	2,614	2,425,281	291,569	2,716,850
Claims on Securities Firms	-	-	-	39,222	46,637	85,859	1,996	-	1,996	-	-	-	-	-	-	832	-	832	-	-	-
Claims on Corporate	1,019,734	933,486	1,953,220	718,927	3,342,511	4,061,438	1,824	-	1,824	-	-	-	367,855	1,148,769	1,516,624	-	-	-	-	-	-
Regulatory & Other Retail Exposure	37	22	59	3,468	20,140	23,607	5,914	-	5,914	-	-	-	0	-	0	-	-	-	-	-	-
Residential Retail Exposure	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Commercial Real Estate	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Past Due Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
High Risk Category	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Claims on Securitised Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Credit Derivatives (Banks selling protection)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Grand Total	**9,620,459**	**6,557,783**	**16,178,242**	**9,657,823**	**24,417,920**	**34,075,743**	**18,085**	**2**	**18,087**	**-**	**-**	**-**	**790,429**	**1,291,333**	**2,081,761**	**3,173**	**274**	**3,447**	**2,425,281**	**291,569**	**2,716,850**

8. Market Risk - Capital Requirements under Standardized Approach

All numbers in AED 000s

Market Risk	Amount
Interest rate risk	1,913,155
Equity position risk	18,759
Foreign exchange risk	323,513
Commodity risk	24,986
Options Risk	703,586
Total Capital Requirement	2,983,999

9. Equity Position in the Banking Boook

All numbers in AED 000s

As at 31 December 2020, the bank's total equity investment portfolio amounted to AED 2,370 M, 27% of which represents quoted investments. For details of the accounting policies and valuation methodology, please refer to Note 3 to the consolidated financial statements under 'Significant Accounting Policies'. Details of cost, market and fair value are reported in Notes 5,9 and 43 to the consolidated financial statements under "Investments".

Disclaimer: Reporting under section b) is limited to positions accounted as 'Fair Value Through OCI', with the exception of Private equities reported under the Collective Investment Schemes' which is accounted as 'Fair Value Through PL'

b) Quantitative Disclosures

1. QUANTITATIVE DETAILS OF EQUITY POSITION:

Type	**Current Year**		**Previous Year**	
	Publicly Traded	**Privately Held**	**Publicly Traded**	**Privately Held**
Equities	534,846	76,869	523,401	136,084
Collective investment schemes	98,827	1,660,404	20,609	1,570,465
Any other investment				
Total	**633,673**	**1,737,273**	**544,010**	**1,706,549**

2. REALISED, UNREALISED AND LATENT REVALUATION GAINS (LOSES) DURING THE YEAR:

Gains (Losses)	**Amount**
Realised gains (losses) from sales and liquidations	304,029
*Unrealised gains (losses) recognised in the balance sheet but not through profit and loss account	(275,662)
**Latent revaluation gains (losses) for investment recorded at cost but not recognised in balance sheet or profit and loss account	
Total	**28,366**

3. ITEMS IN (2) ABOVE INCLUDED IN TIER 1/TIER 2 CAPITAL:

Tier Capital	**Amount**
Amount included in Tier I capital	28,366
Amount included in Tier II capital	
Total	**28,366**

4. CAPITAL REQUIREMENTS BY EQUITY GROUPINGS:

Grouping	**Amount**
Strategic investments	9,657
Available for sale	80,480
Held for trading	405,717
Total capital requirement	**495,854**

10. Interest Rate Risk in the Banking Book

All nos in AED 000s

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments. The Bank is exposed to interest rate risk as a result of mismatches or gaps in the amounts of interest rate sensitive assets and interest rate sensitive liabilities and off balance sheet instruments that mature or reprice in a given period. Interest rate risks in the Bank are managed under a framework comprising Risk Governance and Risk Appetite. The Risk Governance includes the ALM policy (approved by the Board) within the ambit of ERM policy framework. The Bank uses a combination of duration gap analysis and scenario analysis pertaining to impact of changes in interest rates on Net Interest Income and Value of Equity to manage these risks which are reviewed and monitored by ALCO.Interest rate risk is also assessed by measuring the impact of defined movements in interest yield curves on the Bank's net interest income. The following impact on the net interest income and regulatory capital is for the year in case of an immediate and permanent movement in interest yield curves.

Shift in Yield Curves	Net Interest Income	Regulatory Capital
+200 basis point	2,076,578	5,825,836
- 200 basis point	(2,004,221)	(5,718,290)

The above interest rate sensitivities are illustrative only and adopt simplified scenarios. The sensitivities do not incorporate actions that could be taken by management to mitigate the effect of interest rate movements.